



Industry News

Oracle acquires Sun Microsystems

Oracle Corporation has agreed to buy California-headquartered Sun Microsystems in a \$7.4 billion (\$9.50 per share) deal. Sun's acquisition by Oracle caught many in the industry by surprise as the deal came just two weeks after IBM abandoned its bid to buy Sun. According to analysts, the deal strengthens Oracle's position against IBM and HP for dominance of the server and storage markets.

Kapil Dev Singh, country manager, IDC India, said, "The Oracle-Sun merger brings together two strong brands with strengths in the software and hardware space, with the combined entity aspiring to make a mark in the enterprise IT space. Sun's strong computing platform and Oracle's middleware and database platforms will make Oracle's IT infrastructure offering stronger."

There are substantial long-term customer advantages to Oracle owning two key Sun software assets: Java and Solaris. Java is one of the most widely deployed technologies, and it is the most important software Oracle has ever acquired. Oracle Fusion Middleware, Oracle's fastest growing business, is built on top of Java. Oracle can now ensure continued investment in Java technology for the benefit of customers and the Java community.

The Sun Solaris operating system is supposed to be the leading platform for the Oracle database, Oracle's largest business, and has been so for a long time. With the acquisition of Sun, Oracle can optimise the Oracle database for some of the high-end features of Solaris. Oracle says it is as committed as ever to Linux and other open platforms, and will continue to support and enhance strong industry partnerships.

"We expect this acquisition to be accretive to Oracle's earnings by at least 15 cents on a

non-GAAP basis in the first full year after closing. We estimate that the acquired business will contribute over \$1.5 billion to Oracle's non-GAAP operating profit in the first year, increasing to over \$2 billion in the second year. This would make the Sun acquisition more profitable in per-share contributions in the first year than we had planned for the acquisitions of BEA, PeopleSoft and Siebel combined," said Saifra Catz, president, Oracle.

"The acquisition of Sun transforms the IT industry, combining best-in-class enterprise software and mission-critical computing systems," said Larry Ellison, CEO, Oracle. "Oracle will be the only company that can engineer an integrated system—applications to disk—where all the pieces fit and work together so customers do not have to do it themselves. Our customers benefit as their systems integration costs go down, while systems performance, reliability and security, go up."



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Ingres joins Open Source Channel Alliance

Ingres Corporation, an open source database management company, has joined the Open Source Channel Alliance, a group founded by Red Hat and SYNNEX Corporation, to extend the value of open source to a broad set of customers through the 15,000 resellers of SYNNEX. Ingres joins as a charter member and has signed a distribution agreement with SYNNEX.

The alliance enables SYNNEX to distribute the Ingres product portfolio as well as other open source applications, as part of an end-to-end open source solution approach that will deliver a high return-on-investment (ROI) as IT budgets continue to shrink. Specifically, Ingres Database, an open source database that helps organisations develop and manage business critical applications at an affordable cost, will be available through SYNNEX' distribution channel.

Azingo joins OMTF

Mobile Linux company, Azingo, has joined the Open Mobile Terminal Platform (OMTF) to advance the BOND initiative, which ensures that developers can create secure mobile Web applications and services across different platforms and mobile devices. Azingo has developed Azingo Mobile 2.0, an open mobile platform, to enable handset makers to deliver next-generation Web 2.0 experiences on mobile phones. By joining OMTF, Azingo said it plans to contribute its expertise in open mobile platform development to the BOND specifications.